

FEDERAL MARITIME COMMISSION

MUHAMMAD RANA,

Complainant,

v.

MICHELLE FRANKLIN, D.B.A. "THE
RIGHT MOVE," INC.,

Respondents.

Docket No. 19-03

Served: May 25, 2022

BY THE COMMISSION: Daniel B. MAFFEI, *Chairman*, Rebecca F. DYE, Louis E. SOLA, Carl W. BENTZEL, Max M. VEKICH, *Commissioners*. *Chairman* MAFFEI filed a concurring opinion in which *Commissioners* BENTZEL and VEKICH join.

Order Affirming Initial Decision

Complainant Muhammad Rana is a shipper seeking reparations under 46 U.S.C. § 41102(a) for ocean freight charges and other expenses he incurred to release a hold on his shipment after the non-vessel operating common carrier (NVOCC) he hired to move his household goods failed to pay the ocean freight charges. Complainant hired and prepaid Respondent Michelle Franklin, D.B.A. "The Right Move" Inc. (Right Move) but his shipment was held at the destination port because Right Move failed to pay the

ocean transportation charges. Right Move then made misrepresentations and illusory promises to induce Complainant to pay the charges himself. Right Move ceased operating shortly after accepting Complainant’s booking, and the Commission later revoked its NVOCC license for failure to maintain a surety bond.

The Administrative Law Judge (ALJ) determined that Right Move knowingly and willfully obtained ocean transportation at less than applicable rates using unjust or unfair means in violation of § 41102(a) and awarded reparations. The ALJ also imposed discovery sanctions and inferred that the responses Right Move refused to provide would have been averse to its position. Finally, relying on inferences drawn from Respondent’s refusal to answer discovery and other evidence, the ALJ found Ms. Franklin personally liable for the reparations awarded.

For the reasons set forth below, the Commission affirms the ALJ’s decision in its entirety and awards Complainant reparations of \$7,472.40 plus interest of \$176.57, totaling \$7,648.97.

I. BACKGROUND

A. Factual Background

Complainant hired Respondent in early February 2019 to transport his household goods from Alexandria, Virginia to Port Qasim in Karachi, Pakistan. Initial Decision (I.D.), 5.¹ Right Move was a licensed NVOCC at the time (No. 023229N), and Ms. Franklin was Right Move’s sole owner and its only employee. On February 29, 2019, Ms. Franklin decided to close the company because it was insolvent. *Id.* at 5, 15. The Commission revoked Right Move’s NVOCC license on July 4, 2019 because its surety bond had lapsed.² *Id.*

¹The Commission adopts the ALJ’s findings of fact (I.D., 5-16), which are the basis for the facts recited above.

²See <https://www.fmc.gov/oti/revocations-july-12-2019/>.

Right Move agreed to provide door-to-port transportation by ocean carrier from the United States to Pakistan in exchange for which Complainant prepaid a flat fee of \$2,595 that covered ocean freight, terminal handling, and port of loading expenses. *Id.* at 5-6. Complainant paid the fee by transferring funds to an account in Ms. Franklin’s name in accordance with her instructions. *Id.* at 6. Right Move used another licensed NVOCC, Troy Container Line (Troy), to arrange ocean transportation for Complainant’s shipment, and Troy’s local agent in Karachi, CP World Ltd. Co., handled the shipment when it arrived at the Karachi port on March 29, 2019. Right Move and Troy both issued bills of lading describing the shipment as used household goods that qualified for “[e]xpress release” on arrival at the port in Karachi, Pakistan. *Id.* at 7.

When Complainant’s shipment arrived in Karachi, Troy placed a hold on the container because Right Move had not paid the ocean freight charges. *Id.* at 7-8, 23. Complainant did not learn of the hold until after he traveled from Islamabad to Karachi to retrieve the shipment at the port. Complainant arrived in Karachi on April 2, and quickly sought Respondent’s help in getting the container released and asked her to send confirmation that he had prepaid Right Move and that Right Move had in turn paid Troy the ocean freight charges. *Id.* at 8. Respondent never sent the requested confirmation. Shortly after the container arrived in Karachi, Respondent told Complainant that Right Move had been the victim of shipping fraud and was being forced to close but promised to work with Complainant to get his shipment released. *Id.*

Respondent deflected Complainant’s requests for proof of payment with a smokescreen of false statements and misrepresentations and concealed the fact that Right Move had not in fact paid the ocean freight charges to Troy. Respondent told Complainant that Right Move had paid an unnamed third party and that she was diligently pursuing that party to find out why it failed to pay Troy and asking them to correct that error. *Id.* at 8-9. Respondent assured Complainant that a solution was at hand, telling

him at one point, that she had “talked to the company and they are sending the payment today, but it may take a few days.” *Id.* at 9.

Respondent also urged Complainant to pay the ocean freight himself and promised to “wire the money to [him].” *Id.* Complainant requested that she “wire the total amount that was due for shipping today, so I can pay it here,” and warned that if he did not receive the funds he would “be compelled to lodge a complaint” since he was being told by Troy and its agent in Karachi, CP World, that Right Move had engaged in shipping fraud. *Id.* at 10; Complainant’s App. (Feb. 25, 2020). Respondent responded by threatening to cut off direct communications with Complainant but also recommended he contact the Commission for assistance. *Id.* at Ex. 26 (Apr. 8, 2019 email: “From now on we either talk through the [Commission] or your lawyer!”); *see also* Respondents’ Appeal to the Initial Decision (“Exceptions”), 7, 11, 15 (June 15, 2020).

Complainant ultimately paid the ocean freight and demurrage charges himself on April 9, 2019 to recover possession of his belongings. I.D., 9. Due to further delays associated with transferring funds from the United States and dealing with Pakistani customs, Complainant did not actually take custody of the shipment until April 23. After Complainant paid Troy, Respondent again promised to cover “the ocean cost that we failed to pay in time” and told him that the funds had been sent by wire transfer. *Id.* at 14. Complainant was not reimbursed for the charges he paid to CP World or the other costs he incurred in connection with retrieving his shipment which included expenses for meals, lodging and taxis during his stay in Karachi. *Id.* at 12-14.

B. Procedural History

Complainant filed this action in May 2019 seeking reparations against Ms. Franklin D.B.A. The Right Move., Inc. The complaint initially asserted a claim under 46 U.S.C. § 41102(c) and was later amended to add a § 41102(a) claim. Complainant later withdrew the § 41102(c) claim because Respondent refused to answer discovery about other complaints against the company. I.D., 3. Complainant seeks the ocean freight (\$1,107.97) and demurrage charges (\$935 from April 7 to 23) that he paid to release the shipment and his expenses while staying in Karachi for lodging (\$2,350), meals (\$1,476), and taxi fare (\$116.40). I.D. at 32.³

Respondent refused to answer Complainant’s discovery, prompting Complainant to file two motions to compel.⁴ The ALJ denied the first motion but ordered Respondent to answer the discovery by a date certain. When Respondent failed to comply with that order, Complainant filed a second motion to compel which the ALJ granted and ruled that Respondent’s refusal to answer discovery would be considered evidence that supports Complainant’s allegations. *See id.* at 17-18. After the ALJ granted the second motion to compel, Respondent submitted objections and partial discovery responses in an email to the ALJ but did not produce any documents.

The ALJ issued an Initial Decision and found that Respondent violated § 41102(a) and used unfair means to obtain ocean transportation at less than applicable rates by misleading Complainant and inducing him to pay Troy the ocean freight charges. *Id.* at 24-25. The ALJ also held Ms. Franklin personally liable for reparations because she blurred the line between the

³Complainant initially also sought punitive damages and reparations for emotional distress which are not recoverable under the Shipping Act. *See* 46 U.S.C. § 41305(b) (authorizing reparations for “actual injury”). Complainant does not challenge the ALJ’s decision denying those damages. *See* Complainant’s Reply to Respondent’s Exceptions (Complainant’s Reply), 8 (July 7, 2020).

⁴*See* Complainant’s Mots. to Compel filed Oct. 18 and Dec. 19, 2019.

business and her personal affairs. The ALJ inferred that the documents she refused to produce would have been adverse to her position that she observed corporate boundaries. *Id.* at 29-30.

In timely-filed exceptions, Respondent challenges the ALJ’s determination that she violated § 41102(a) and the decision to hold her personally liable and also argues that the reparations awarded are excessive. Respondent does not deny making false statements about Right Move having paid the ocean freight and failing to keep a promise to reimburse Complainant if he paid Troy, but she argues that she did not act in bad faith and was simply reacting to the stress of closing Right Move. Respondent also asserts that she should not be sanctioned for not responding to discovery because she did not understand her obligation to respond and, in any event, was entitled to withhold information she considers irrelevant or private.

Complainant asks the Commission to affirm the Initial Decision in its entirety. Complainant’s Reply, 8. Complainant asserts that the ALJ’s findings on the § 41102(a) claim are supported by the record as is the ALJ’s decision to sanction Respondent for failing to provide discovery and comply with the ALJ’s orders.

II. DISCUSSION

A. Standard of Review

When the Commission reviews exceptions to an ALJ’s Initial Decision, it has “all the powers which it would have in making the initial decision.” 46 C.F.R. § 502.227(a)(6). The Commission therefore reviews the ALJ’s findings de novo and can make additional findings. *Id.*; see also *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 12-02, 2015 FMC LEXIS 43, at *110-11 (FMC Dec. 18, 2015). Complainants bear the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.155; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 08-03, 2014 FMC LEXIS 35, at *41 (FMC Dec. 17, 2014). Under the

preponderance standard, Complainants must show that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, FMC Docket No. 15-04, 2019 FMC LEXIS 44, at *10-11 (FMC July 16, 2019). The Commission can rely on circumstantial evidence if there is no direct evidence as long as its findings are based on more than speculation. See *Waterman Steamship Corp. v. Gen. Foundries, Inc.*, 1993 FMC LEXIS 73, at *40 (ALJ 1993), *adopted in relevant part*, 1994 FMC LEXIS 19 (FMC June 13, 1994).

The Commission’s rules do not expressly address the standard of review for decisions sanctioning parties’ failure to comply with orders compelling discovery. See *Kawasaki Kisen Kaisha, Ltd. v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 11-12, 2014 FMC LEXIS 35, at *18-19 (FMC Nov. 20, 2014). “[F]or situations which are not covered by a specific Commission rule,” the Commission follows the Federal Rules of Civil Procedure “to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12. Federal Rule of Civil Procedure 37(b) is the corollary to the Commission’s rule on discovery sanctions (46 C.F.R. § 502.150) for violating an order directing discovery responses. In reviewing district courts’ orders on discovery, the United States Courts of Appeal apply an abuse of discretion standard because a “‘narrowly circumscribed’ scope of review is consistent with district courts’ “‘considerable discretion’ in managing discovery” and their “broad discretion to impose sanctions for discovery violations under Rule 37.” *Parsi v. Daiouleslam*, 778 F.3d 116, 125 (D.C. Cir. 2015); see also *Bonds v. District of Columbia*, 93 F.3d 801, 807 (D.C. Cir. 1996) (reviewing court should reverse discovery sanctions only if they are found to be “clearly unreasonable, arbitrary, or fanciful”).

B. Discovery Sanctions

The ALJ imposed discovery sanctions when Respondent did not comply with the ALJ’s order directing discovery responses. I.D., 17-18. The ALJ inferred that responses Respondent failed to provide

would have been adverse to her interests. *Id.* Before imposing sanctions, the ALJ gave Respondent several opportunities to comply and repeatedly warned about the consequences of refusing to produce discovery. *Id.* Respondent challenges the sanctions as unjust and defends her refusal to provide discovery by claiming that the information Complainant sought is not relevant because she concedes that Right Move did not pay the ocean freight charges and because Right Move’s information was already on file with the Commission. Exceptions, 8, 10.

Parties in adjudications before the Commission are entitled to “obtain discovery regarding any nonprivileged matter that is relevant to any party’s claim or defense—including the existence, description, nature, custody, condition, and location of any documents or other tangible things.” 46 C.F.R. § 502.141(e)(1). “Relevant information need not be admissible at hearing if the discovery appears reasonably calculated to lead to the discovery of admissible evidence.” *Id.* If a party fails or refuses to respond to discovery, the requesting party can move for an order directing responses, and the party resisting disclosure bears the burden of proving that the requests are improper or unduly burdensome. *Id.* § 502.150(a); *Kawasaki*, 2014 FMC LEXIS 36, at *35 (citations omitted). The presiding officer has authority, for good cause, to “order discovery of any matter relevant to the subject matter involved in the action.” 46 C.F.R. § 502.141(e).

Refusing to comply with an order directing discovery responses is sanctionable conduct. If a party “fails or refuses to obey an order requiring it to make disclosures or respond to discovery requests, the presiding officer . . . may make such orders in regard to the failure or refusal as are just.” *Id.* § 502.150(b). Sanctions authorized by the Commission’s regulations include: (1) inferring or adopting certain facts as true for purposes of that proceeding; or (2) barring claims and defenses or restricting evidence. *Id.* Adverse inferences are “particularly appropriate,” when the resisting party “fails to produce documents.” *Worldwide Relocations, Inc. - Possible Violations of Sections 8, 10 and 19 of the Shipping Act*,

FMC Docket No. 06-01, 2012 FMC LEXIS 23, at *12 (FMC Mar. 15, 2012).

The ALJ’s decision to sanction Respondent for refusing to produce discovery was not an abuse of discretion. As an initial matter, Complainant’s requests were well within the bounds of permissible discovery under the Commission’s rules. *See* 46 C.F.R. § 502.141(e)(1). In fact, some information Complainant requested should have been provided in Respondent’s initial disclosures. *See* 46 C.F.R. § 502.141 (explaining parties’ obligation to produce initial disclosures “without awaiting a discovery request” containing information about persons “likely to have discoverable information” and “[a] copy, or a description by category and location, of all documents . . . that the disclosing party has in its possession, custody, or control and may use to support its claims or defenses”).

Complainant sought information about Respondent’s communications with Troy and payments related to his shipment and also requested documents related to Right Move’s status as a separate entity, such as business tax returns and related materials. *See* Complainant’s Mot. to Compel, Ex. 1 at 3 (Oct. 19, 2019). Complainant also requested information about other complaints lodged against Right Move that could be relevant to showing whether it previously engaged in the conduct alleged. *See id.* Respondent’s refusal to provide this information led Complainant to withdraw the § 41102(c) claim because he did not have evidence that the claimed acts or omissions occurred on a “normal, customary and continuous basis.” *See* 46 C.F.R. § 545.4.

Respondent repeatedly failed to heed the ALJ’s instructions and clear warnings that refusing to answer discovery would lead to sanctions. The ALJ gave Respondent several chances to comply *after* explaining that answers were required and that continued refusals could lead to a default. *See* Order Denying Mots. for Default and Summ. Decision, to Strike, and to Compel; Discharging Show Cause Order and Scheduling Order (ALJ Oct. 30, 2019). The ALJ denied as moot the first of Complainant’s two motions to compel

and established a date certain for Respondent’s answer while emphasizing the need to comply. *See id.* at 3-4. Respondent did not heed that warning and did not produce any documents, prompting Complainant to file a second motion to compel. The ALJ granted Complainant’s second motion to compel but gave Respondent another chance to avoid sanctions by responding to the discovery. Instead of taking advantage of that opportunity, Respondent submitted a letter to the ALJ that listed the discovery requests and stated boilerplate reasons for not providing the information requested.⁵ Respondent provided basic information in response to a few interrogatories (*e.g.*, the name of the person responding, the surety bond amount, etc.) but by and large did not answer the interrogatories and provided no documents.

Respondent categorically refused to respond to questions she believed would not further resolution of the claims or which she considered irrelevant or related to another company not directly involved in her agreement with Complainant. She asserted that her acknowledgement that Right Move had not paid the ocean freight charges made most of the discovery requests irrelevant *See* Respondent’s Answer, 1-2; *see also* Respondent’s Mot. for Finding of Facts alleged by Complainant and Default Decision--Response (Respondent’s Proposed Findings) (Jan. 23, 2020).

Respondent’s excuses for not complying are not persuasive. Respondent claims that she did not understand the process and was entitled to withhold the information she considered irrelevant. Respondent asserts that as a pro se litigant,⁶ she did not understand that she had to respond to discovery or that shirking that obligation

⁵Respondent’s Answer to Complainant’s Discovery Request” (Respondent’s Answer) (Jan. 15, 2020).

⁶The ALJ made allowances for Respondent’s *pro se* status in dealing with discovery and other issues. *See Anchor Shipping Co. v. Alianca Navegacao E Logistica Ltda.*, FMC Docket No. 02-04, 2008 FMC LEXIS 21, at *56 (ALJ Dec. 16, 2008) (stating that *pro se* litigants should be held to less stringent standards). The ALJ held Respondent’s filings to less stringent standards and did not penalize her for technical deficiencies.

would lead to a penalty. Respondent claims that if she had understood those things, she would have provided more information. *See* Exceptions, 2-3, 10. Respondent also states that she assumed the case would proceed like a mediation and the ALJ would notify her if more information was needed to resolve the claims. *Id.* at 2. While Respondent may not have initially understood the Commission’s rules on discovery, that excuse is not plausible in light of the ALJ’s clear instructions and repeated, pointed warnings about parties’ obligations to answer discovery and consequences of refusing to answer. The ALJ’s recurring admonitions clearly put Respondent on notice that her continuing failure to cooperate could lead to sanctions and possibly a default judgment.

The ALJ narrowly tailored the discovery sanctions imposed to address the resulting prejudice to Complainant’s case. *See Rivera v. New York City Hous. Auth.*, Civ No. 94-436, 1998 U.S. Dist. LEXIS 2816 (S.D.N.Y. Mar. 11, 1998) (sanctions imposed should be narrowly tailored to address the specific harm). Respondent refused to provide information about Right Move’s existence as a corporate entity separate and distinct from Ms. Franklin acting in her personal capacity and also refused to provide information about prior complaints lodged against Right Move.⁷ That information was uniquely or largely within Respondent’s control and by refusing to disclose it, Respondent unfairly deprived Complainant of information needed to prove a § 41102(c) claim or show that Ms. Franklin did not respect the boundaries between the company’s and her personal business.

Sanctioning that conduct was appropriate to prevent Respondent from benefiting from her own intransigence and to minimize unfair prejudice to the Complainant. *See* I.D., 15-16 (relying on Respondent’s failure to answer discovery in finding that Respondent failed to treat Right Move as a separate entity); *see also GO/DAN Industries, Inc. v. Eastern Mediterranean Shipping Corp.*,

⁷*See* Order Denying Complainant’s Mot. for Finding of Facts and Default Decision, 1 (ALJ Feb. 6, 2020); *see also* I.D., 18.

FMC Docket No. 98-24, 1998 FMC LEXIS 5, at *7 (ALJ Dec. 10, 1998) (sanctioning Respondent’s failure to participate in proceedings by entering judgement in Complainant’s favor).

The Commission affirms the discovery sanctions against the Respondent and infers that the discovery Respondent withheld would have been adverse to her interests.⁸

C. Section 41102(a) Claim

The ALJ found that Respondent knowingly and willfully obtained ocean transportation at less than otherwise applicable rates through unjust and unfair means in violation of § 41102(a). I.D., 23-25. The ALJ based that determination on Respondent concealing Right Move’s failing financial status when Complainant booked the shipment, falsely claiming that Right Move had paid the ocean freight charges and blaming an unnamed third party for the hold Troy placed on the shipment, and making illusory promises to repay Complainant immediately if he paid the ocean freight charges that Right Move owed. *Id.* Respondent now admits that Right Move failed to pay Troy for transporting Complainant’s shipment but defends the failure to reveal Right Move’s failing financial status to Complainant before booking the shipment. She argues that her misrepresentations about Right Move having paid the charges were caused by the stress of Right Move’s financial collapse and were not made in bad faith. *See Exceptions*, 3-4.

⁸Complainant voluntarily dismissed the § 41102(c) claim because the Respondent refused to produce discovery about previous acts or omissions that might have been used to support elements of the claim. Had the Complainant not dismissed the § 41102(c) claim, the ALJ could have similarly imposed sanctions including an inference that the Respondent’s actions occurred on a normal, customary, and continuous basis. The ALJ’s sanctions in this case illustrate the importance of discovery obligations in all Commission proceedings, and in particular cases involving § 41102(c) claims.

1. Elements of a Section 41102(a) Claim

Section 41102(a) states that a “person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification . . . or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” 46 U.S.C. § 41102(a). Proving a § 41102(a) claim requires three elements: (1) knowing and willful conduct; (2) through which, either “directly or indirectly,” by means of the actions enumerated in the statute or through “any other unjust or unfair device or means;” (3) respondent obtained or attempted to obtain ocean transportation at lesser rates. *Id.*; *OC Int’l Freight, Inc.*, FMC Docket No. 12-01, 2014 FMC LEXIS 14, at *12 (FMC July 31, 2014).⁹

The first element--knowing and willful conduct--is established if the respondent had “knowledge of the facts of the violation” and acted either intentionally or with “reckless disregard, plain indifference, or purposeful or obstinate behavior akin to gross negligence.” *Rose Int’l, Inc. v. Overseas Moving Network, Int’l*, FMC Docket No. 96-05, 2001 FMC LEXIS 39, at *118, *147 (FMC June 1, 2001) (citations omitted). Conduct is knowing and willful if it was carried out “purposely or obstinately” or with “gross recklessness, heedlessness, or a callous disregard” for the

⁹Although the ALJ determined that Respondent acted as a regulated entity in arranging transportation for Complainant’s shipment (I.D., 23), regulated status is not an element required to establish a § 41102(a) claim. *OC Int’l Freight*, 2014 FMC LEXIS 14, at *18-19 (§ 41102(a)’s “prohibitions” are not limited to entities like common carriers or NVOCCs). Further, the Respondent does not challenge the ALJ’s finding on that question and it is supported by the record. Right Move was a licensed NVOCC and held itself out as a common carrier when it booked the shipment and assumed responsibility for transporting Complainant’s household goods from the United States to Pakistan by ocean carrier. See 46 U.S.C. § 40102(17) (defining NVOCC); *Tienshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd.*, FMC Docket No. 08-04, 2011 FMC LEXIS 9, *39-42 (ALJ Mar. 9, 2011) (registering with the Commission establishes that an entity holds itself out as a common carrier).

consequences or “plain indifference to the law’s requirements.” *Brokerage on Shipments of Ocean Freight—Max LePack*, (Max LePack), 5 F.M.B. 435, 444 (FMB 1958) (equating indifference with an “outright” violation); ¹⁰ see also *Portman Square Ltd.--Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, FMC Docket No. 97-17, 1998 FMC LEXIS 27, at *21-22 (ALJ Mar. 16, 1998) (Admin. final 1998).

The second element is established if the respondent used false billing or misclassification, or any other “unjust device or means” to obtain ocean transportation at less than otherwise applicable rates. *Rose Int’l*, 2001 FMC LEXIS 39, at *102. Here, there are no allegations that Respondent engaged in false billing, misclassification of cargo, or any other conduct specifically prohibited by § 41102(a) so the question is whether Respondent’s actions may be considered any “other unjust or unfair device or means” within the meaning of § 41102(a).

[F]raud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means . . . It is such fraud or concealment that in fact makes the practice unjust or unfair. Whether an act constitutes an unfair or unjust device . . . depends on its similarity to false billing, false classification or the other prohibited conduct.

Open Bulk Containers, 727 F.2d at 1064 (citations omitted); see also *OC Int’l Freight*, 2014 FMC LEXIS 14, at *14. Knowingly making claims that one knows or should know are false supplies the required element of fraud or concealment. *Open Bulk Containers*, 727 F.2d at 1065.

¹⁰Decisions interpreting the initial paragraph of § 16 of the 1916 Act, the predecessor to § 41102(a), remain persuasive authority, because the operative language prohibiting the use of “any other unjust or unfair device or means” to obtain lower rates has not changed. See *U.S. v. Open Bulk Carriers*, 727 F.2d 1061 (11th Cir. 1984) (quoting the initial paragraph of § 16, formerly codified at 46 U.S.C. § 815 (initial paragraph)).

By itself, a failure to pay ocean transportation charges does not establish the second element of § 41102(a) claim, because that alone does not establish that fraud or deceit were used to avoid paying the applicable rates. 46 C.F.R. § 545.2; *see also Open Bulk Containers*, 727 F.2d at 1064 (openly combining cargos to obtain lower rates and reduce deadfreight penalties was not an unjust or unfair device). Further, showing that the respondent was deceitful or dishonest in some respect unrelated to obtaining or attempting to obtain lower rates is not sufficient; fraud or concealment must be the *means by which* the respondent obtained or tried to obtain lower rates. *Open Bulk Containers*, 727 F.2d at 1064.

Finally, the third element is established by showing that respondent obtained or tried to obtain ocean transportation for less than the otherwise applicable rates. *OC Int’l Freight*, 2014 FMC LEXIS 14, at *17-18.

2. Respondent’s Conduct

a. Knowing and Willful

The ALJ determined that Respondent acted knowingly and willfully when she deflected Complainant’s inquiries “with false information,” made illusory promises to persuade Complainant to pay Troy, and deposited Complainant’s payment into a personal bank account to segregate it from Right Move company funds and protect it from the business’s creditors. I.D., 24-26. The ALJ cited Respondent’s “ever-changing” excuses in concluding that she had not established a good faith defense to the allegations that she acted knowingly and willfully. Respondent counters by arguing that it was impossible for her to act knowingly and willfully because she was too distressed by Right Move’s insolvency and the company’s forced closure to formulate a coherent plan and claims that her actions were nothing more than a desperate and scattershot attempt to salvage her pride and professional reputation. *See Exceptions*, 4.

Respondent’s emails and her admission that Right Move failed to pay the ocean freight charges establish that she knowingly relayed false information. Respondent deflected Complainant’s request for confirmation of payment by insisting that “we have paid the shipping costs to a third party to pay the SSL for this shipment.” *Id.*, Ex. 23. Respondent now concedes that the information about Right Move having paid the ocean freight charges was false. *See* Respondent’s Mot. for Finding of Facts, 3 (Jan. 23, 2020), (conceding that “[R]espondent failed to pay ocean costs”).

The story that Respondent manufactured to conceal Right Move’s failure to pay the ocean freight charges and the details she invented to keep up that false pretense show that her actions were knowing and willful. Respondent deliberately created and maintained the illusion that she was diligently working with an unnamed third party that Right Move had allegedly paid to have that unnamed party pay Troy and get shipment released. Several times, she reported on communications from this unnamed third party and assured Complainant that a solution was almost at hand. *See* Complainant’s App., Exs. 23-32. At various times, she told Complainant that: (1) she was “checking into” the situation and to “give [her] an hour or 2 to see why this was not paid;” (2) she had “talked to the company and they are sending the payment today, but it may take a few days,” and added that “I think it will be released by Tuesday or Wednesday [at] the latest;” and (3) the “[t]he third company I booked with . . . waited until the last minute to pay the ocean . . . [and] thought they had a few more days. *Id.* In other communications, Respondent assured Complainant that she had been “asking them to pay it for the last 4 days, they should be able to pay it today or tomorrow. I will send you the proof once it was paid:” and pressed Complainant to tell her whether he had paid the charges himself, telling him that the “[t]he company I paid the money to needs to know. . .” *Id.*

Respondent’s unflagging persistence in keeping up this pretense refutes her claim that it was not a purposeful plan but rather an ad hoc reaction to the stress of dealing Right Move’s financial

collapse. *See* Exceptions, 4. Respondent was not just flailing aimlessly when she told Complainant that she was working to resolve the situation, as she now contends. *See id.* She persistently defended a story that she fabricated and embellished it with details to make it seem more believable and suggest at times that a solution was imminent.

Respondent does not identify any evidence in the record that Right Move paid a third party or even that such a party existed. Further, Respondent’s story is not credible and does not align with established facts. *See* Exceptions, 10-12. If Right Move had actually paid the money to another entity with the understanding that it would pay Troy, that does not explain why the payment was not eventually sent to Troy. Nor does it explain why Respondent has not identified this unnamed party whose lack of diligence caused Troy to hold the shipment. Respondent suggested in one email to Complainant that the third party simply miscalculated the timing and the shipment arrived before it made the payment, which might explain why the payment arrived late but does not explain why it never arrived at all. And Respondent’s credibility on this point is further eroded by the refusal to answer Complainant’s discovery. Respondent did not identify this unnamed party in discovery or provide any documents proving its existence, so it is reasonable to infer Right Move did not pay a third party who then failed to remit the freight charges to Troy. I.D., 28.

Respondent has also suggested that when Complainant first contacted her, she thought that Troy’s charges had been paid (Exceptions, 7), but later learned that Troy had applied the payment to charges owed on a prior shipment. *See* Complainant’s App., Ex. 27. Respondent does not point to any evidence in the record showing that Right Move paid or thought it had paid Troy’s charges by sending the money to a third party. *See* I.D., 27. Even if Respondent was initially mistaken about the payment having gone out to Troy, Troy’s hold on the shipment should have alerted her to the fact that it either had not received the payment, had not applied it to Complainant’s shipment, or at least that something had gone awry.

Further, even if Respondent mistakenly believed that Troy had been paid, that would not excuse inventing a story blaming an unnamed third party or make that fabrication any less purposeful.

Respondent’s false representations to Complainant that Troy had been paid were not just purpose-driven, they were reckless and grossly negligent. By inducing Complainant to believe that a solution was close at hand and she would shortly furnish him with proof of payment, Respondent led Complainant to depend on her and await a solution that was not going to materialize. Respondent recklessly disregarded the negative impact those false assurances would have on Complainant. Respondent has described herself as a professional experienced in maritime industry practices. *See* I.D., 26; Exceptions, 6 (noting Respondent’s 15 years of experience in the shipping industry). As the owner and operator of an NVOCC, Respondent must have known that free time was limited and that any increased delay in releasing the shipment would add to demurrage and possibly other charges due on the shipment. By ignoring the obvious and inevitable consequences of her actions, Respondent demonstrated callous disregard that equates to knowing and willful conduct. *See Rose Int’l*, 2001 FMC LEXIS 39, at *147-48 (knowing and willful conduct shown by callous disregard for the consequences of one’s actions); *Max LePack*, 5 F.M.B. at 444.

Respondent also acted recklessly in making illusory promises or guarantees to repay Complainant *if* he paid Troy the ocean freight charges. Several factors made those promises illusory.¹¹ First, from all indications, Respondent did not have the funds to repay Complainant. Right Move had just closed for lack of funds and apparently did not have the funds to pay a line of credit extended by its bank. Despite this apparent lack of funds, Respondent assured Complainant that she would send the funds to

¹¹At other times in later emails, Respondent qualified her promises by stating, *e.g.*, that she attempted to repay Complainant as much as she is responsible for or help him defray the costs. Exceptions, 7; Respondent’s App., Ex. 8.-But those qualified assurances do not excuse or reverse the consequences of her unqualified assurances.

him “shortly” or within days if he settled Right Move’s debt to release the hold on his shipment. The unpaid freight charges were a business debt, but the business was insolvent and had ceased operating so there was no obvious source of funds from which Respondent could immediately repay Complainant. It is clear from the evidence, including Respondent’s own statements, that Respondent knowingly or at least recklessly misled Complainant by making promises she could not reasonably have expected to keep.¹² And she used those promises to inaccurately imply that Complainant would quickly be repaid if he satisfied Right Move’s debt to Troy for the ocean freight charges.

Respondent’s challenges to the ALJ’s determination that she acted knowingly and willfully are not persuasive. First, she points to other actions she took to assist Complainant and other shippers as proof that her communications with Complainant were not made in bad faith. *See* Exceptions, 7. As evidence of that, Respondent points to an email in which she advised Complainant to seek help from the Commission and file a claim against the company’s surety bond. *See id.* at 6-8. Offering that assistance hardly refutes the compelling evidence that she knowingly and willfully misled Complainant about having paid the ocean freight and then made misleading promises about immediate repayment. *See generally OC Int’l Freight, Inc.*, 2014 FMC LEXIS 14, at *12-13 (certifying information respondent knew was false demonstrated knowing and willful conduct).

¹²Respondent’s own statements demonstrate the lack of available funds to honor the promises made to Complainant. Respondent stated that the decision to close Right Move was made in late February 2019, a month before her April 2019 emails to Complainant about Troy’s hold on the shipment. *See* Exceptions, 8. Respondent informed Complainant of the decision to close the company in an email dated April 2, 2019 in which she explained that the company had been the target of “shipping fraud” and was forced to close due to the resulting “financial burden.” Exceptions, 7, 15; Complainant’s App., Ex. 17 (advising Complainant that “[t]he booking was done under another company[’s] license, because I knew we may get to the point we have to close”).

Respondent also argues that her promises to repay Complainant were made in good faith,¹³ she did intend to repay the money and that two attempts to transfer the money failed because there was not enough money in her account. Exceptions, 14 (referencing email dated May 30 stating that funds to cover “the ocean cost that we failed to pay in time” were sent “yesterday” by wire transfer and should reach Complainant’s bank account the next day). This argument is not persuasive for several reasons. First, Respondent does not point to any supporting evidence beyond her own assertion that she intended to repay the money and attempted to do so. Second, Respondent’s assertion lacks credibility given that Right Move had just ceased operating for lack of funds. Further, if Respondent had business funds available to repay Complainant that begs the question of why she did not pay Troy/CP World directly with those funds.

Respondent’s second argument misinterprets § 41102(a) and the conduct it governs. Respondent argues that her conduct subsequent to booking Complainant’s shipment on February 6, 2019, and in particular her communications with Complainant about the unpaid freight charges in early April 2019, are not relevant and should not be considered as evidence supporting Complainant’s allegations. That argument inaccurately assumes that § 41102(a) governs how Right Move obtained Complainant’s shipping business and fails to recognize that the conduct at issue is whether/how Right Move obtained ocean transportation for Complainant’s shipment without paying the applicable rates.¹⁴ See Exceptions, 2-4, 18.

¹³Complainant signed the shipping agreement with Right Move on February 6, 2019 (Complainant’s App., Ex. 1), and Respondent has stated that she made the decision to close Right Move a few weeks later in late February 2019 (Exceptions, 7-8, 13).

¹⁴Respondent’s raises this argument several times in challenging other aspects of the ALJ’s analysis and the evidence that the ALJ relied on but it has no legal basis and does not discredit the ALJ’s analysis on this or any other issue. See, e.g., Exceptions, 6-7 (asserting that the decision to close Right Move was made after booking the shipment).

For all the reasons discussed above, the Commission finds that Respondent acted knowingly and willfully.

b. Unjust and Unfair Means or Device

Proving a respondent used an unjust or unfair means to obtain ocean transportation at lower rates requires evidence of fraud or concealment carried out for that purpose. *Open Bulk Containers*, 727 F.2d at 1064; *OC Int'l Freight, Inc.*, 2014 FMC LEXIS 14, at *12-14. Here, the ALJ found "clear evidence" of fraud and concealment based on a series of actions. I.D., 26-27. The ALJ found that in booking and arranging transportation for Complainant's shipment, Respondent acted fraudulently by concealing Right Move's financial instability, failing to pay the ocean freight then falsely claiming the charges had been paid while Complainant's shipment remained "in limbo," and finally by making illusory promises to repay Complainant. *Id.* at 28. Respondent again argues that she was under stress and not acting in bad faith and points to evidence that she tried to help Complainant and other shippers. Exceptions, 3-6, 18.

Respondent engaged in a series of deceptive acts to conceal Right Move's insolvency and failure to pay the ocean freight charges for Complainant's shipment and to avoid paying those charges. Respondent was certainly aware that ocean freight charges were Right Move's responsibility under the shipping agreement that Complainant signed. She had operated Right Move for the past 8 years and was its sole employee. She also knew that Complainant had fulfilled his part of the agreement by paying Right Move's flat fee in advance. But despite all of that, Respondent failed to pay the ocean freight charges--then invented a scapegoat to conceal that failure and used illusory promises to induce Complainant to pay the charges. The Commission's regulations recognize similar conduct as supporting an inference that a respondent used unjust or unfair means to avoid paying the applicable rates. 46 C.F.R. § 545.2 (inducing the carrier in bad faith to relinquish its possessory lien on

the cargo or transport without prepayment sufficient to infer use of an unjust device).

Respondent also engaged in deception when she opened an account in a different bank to avoid Right Move’s creditors and used that account for Complainant’s payment. Respondent admits opening the account to prevent her original bank from seizing funds in Right Move’s account to cover a line of credit and concedes that the new account was in her name and that Right Move’s name was not on the account. Exceptions, 14. But she claims that her reasons for switching banks and using an account in her name were legitimate. *See id.* Respondent asserts that she was following the bank representative’s advice and only opened the account in her name because the documents needed to open a business account were not immediately available. *Id.* at 14-15. Respondent does not point to any evidence to substantiate these statements.

The totality of Respondent’s actions establishes the use of an unjust or unfair device. *See, e.g., Rose Int’l*, 2001 FMC LEXIS 39 at *123-25, *149-50 (creating shell corporation showed purposeful action to evade the Shipping Act and the Commission’s regulations or at a minimum, reckless disregard). Respondent’s repeated falsehoods and deceptive tactics shows that her actions were a calculated effort to avoid paying for the ocean transportation and to convince Complainant to pay those charges even though he had already paid Right Move for that service. This series of actions shows that Right Move’s failure to pay Troy was not grounded in a good faith dispute over the charges or the result of an honest error or oversight on its part or based on any other recognized defense for non-payment. *See* 46 C.F.R. § 545.2.

If the only evidence offered to prove knowing and willful use of unfair means to avoid paying Troy had been Respondent’s failure to disclose Right Move’s uncertain financial status, that alone would not be sufficient. Respondent has stated that Right Move’s financial issues might have been caused by seasonal fluctuations in revenue and the Commission might reasonably infer that

Respondent subjectively believed that Right Move might survive the downturn and recover. See I.D., 27-28 (quoting Respondent’s statement that she “had been through this same cycle” for the past 8 years and managed successfully). But when Respondent’s failure to disclose Right Move’s precarious status is considered as part of a series of actions directed at concealing or misleading Complainant with misinformation, collectively the evidence shows that her actions were purposeful and directed at avoiding paying Troy the ocean freight charges owed for Complainant’s shipment.

For all the reasons discussed above, the Commission finds that Respondent used an unjust or unfair means or device to avoid paying the ocean freight charges.

c. Attempting to or Obtaining Transportation at Lesser Rates

The ALJ determined that Respondent obtained ocean transportation for Complainant’s shipment and avoided paying the charges through unjust means. I.D., 28. The ALJ stated that “Respondent does not contest this element” and conceded that Complainant’s shipment was transported by ocean carrier and Right Move failed to pay for that transportation. Respondent challenges the ALJ’s determination and defends her conduct by arguing that she intended to pay for the transportation but simply lacked the necessary funds and also claims that she is not culpable because she urged Complainant to file a claim against the surety bond. Exceptions, 15-16.

Respondent’s arguments challenging the ALJ’s findings are not persuasive. Respondent argues that she originally intended to repay Complainant and made two attempts to wire transfer the funds which the bank rejected for lack of funds. *Id.* at 14-16. As with Respondent’s other defenses, the only evidence that Respondent points to is her own statements and assertions. Since she refused to produce documents in discovery, the record does not include documents substantiating her claims about the failed wire transfer

attempts. Further, even if Respondent’s statements are true, her subjective intentions and failed attempts to transfer the money to Complainant’s account do not refute the evidence that she avoided paying Troy the ocean freight charges for Complainant’s shipment.

For all the reasons discussed above, the Commission finds that Respondent obtained ocean transportation for Complainant’s shipment without paying the applicable rates using an unfair means or device. Because the Respondent knowingly and willfully obtained ocean transportation at less than otherwise applicable rates through unjust and unfair means, the Commission affirms the ALJ’s determination that Respondent violated § 41102(a).

D. Personal Liability

The ALJ found Ms. Franklin personally liable for reparations. I.D. at 29-31. Respondent argues that she should not be held personally liable because the ALJ should not have sanctioned her for discovery violations and she also defends the use of her personal account for business funds as an anomaly that came about through innocent action on her part. *See* Exceptions, 14.

As an initial matter, although Respondent states several times in the Exceptions and elsewhere in filings before the ALJ that she accepts personal responsibility for the ocean freight charges, it is clear from the content and context of her statements that she does not concede personal liability for reparations awarded in this case. In conceding responsibility, Respondent conflates personal liability with reimbursement that Complainant might seek under Right Move’s surety bond. *See, e.g.*, Respondent’s Proposed Findings, 3 (“Respondent is personally liable through her bond, that’s exactly why there is a BOND”)(emphasis in original); Exceptions, 3-4 (referring to Right Move’s surety bond as her “personal guarantee” while also noting that as the owner of a “closed failed company” she bears responsibility for its debts); *see also* I.D., 5 (citing Ms. Franklin’s admission that as the “sole owner of a failed company,” she is responsible for its debts). Also, Respondent contests the

inferences and evidence the ALJ relied on in piercing the corporate veil and finding her personally liable, so it is clear that Respondent does not concede personal liability for reparations.

The ALJ applied the Commission’s two-prong test derived from federal common law to determine whether Respondent established and respected corporate boundaries. I.D., 29-30. That test examines whether a respondent: (1) exercised control and domination over a shell corporation; and (2) committed a federal violation. *Rose Int’l*, 2001 FMC LEXIS 39 at *122-23; *YSN Imports Inc. d/b/a Flame King v. Oberlander*, FMC Docket No. 21-02, 2021 FMC LEXIS 104, at *9 (ALJ July 7, 2021).

The Commission has identified multiple factors relevant in deciding the first question:

(1) the nature of the ownership and control; (2) failure to maintain corporate minutes or adequate corporate records and failure to follow corporate formalities; (3) commingling of funds and other assets; (4) inadequate capitalization; (5) diversion of the corporation's funds or assets to non-corporate uses; (6) use of the same office or business location by the corporation and its shareholders; (7) overlapping ownership, officers, directors and personnel; (8) the amount of business discretion displayed by the allegedly dominated corporation; and (9) whether the corporations are treated as independent profit centers.

Rose Int’l, 2001 FMC LEXIS 39 at *127 (citations omitted). To resolve the second question, the Commission considers whether it is appropriate to pierce the corporate veil to prevent respondent from using the “corporate device” to commit statutory violations and whether refusing to do so would allow respondent to use the corporate structure to circumvent a federal statute. *Id.* at *127-28.

The ALJ relied on Respondent’s refusal to respond to Complainant’s discovery in entering key findings about her control over Right Move and the absence of corporate boundaries. The ALJ found that: (1) from February 2019 forward, Ms. Franklin was Right Move’s “sole spokesperson, representative, owner, advocate, and employee;” (2) Right Move did not “observe corporate formalities” in terms of maintaining proper documentation; (3) Right Move did not operate as a separate entity distinct from Ms. Franklin and is or was taxed through Ms. Franklin’s personal tax returns; (4) Ms. Franklin treated Right Move’s funds and assets as her own and used Right Move “as a facade for her personal financial dealings” and did not respect its boundaries as a separate corporate entity. I.D., 15-16 (Finding Nos. 78-82).

Respondent’s refusal to provide discovery about Right Move and its corporate structure and income reporting led the ALJ to infer that information would have been adverse to her position. The ALJ also relied on Respondent’s contemporaneous statements as probative and found they were “the most directly relevant evidence in the record.” I.D., 30. The ALJ relied in particular on admissions that Respondent made in an April 9, 2019, email to the effect that she had booked Complainant’s February 2019 shipment under another company’s license because she knew that Right Move might reach the point where closing was inevitable. Complainant’s App., Ex. 27. In the same email, Respondent acknowledges opening an account which she characterized as a “business account” but with “my name on it in order to be not associated with” Right Move’s financial burden. *Id.* The ALJ found these admissions “coupled with [Respondent’s] failure to produce discovery” established that Ms. Franklin used her personal bank account for Complainant’s payment and commingled business and personal funds, and also proved that Right Move had inadequate operating capital. I.D., 30.

The ALJ appropriately relied on Respondent’s refusal to provide discovery in inferring that she had not maintained corporate boundaries between Right Move and her personal affairs. *See* I.D., 29-30. Respondent was unrelenting in refusing to provide discovery

and in defending that decision before the ALJ and the Commission. In her exceptions, Respondent acknowledges refusing to share personal/corporate details because she thought they were irrelevant to the case and because she “refused to drag any other company into this claim and refused to share the information considering the outcome is the same, and the ocean [freight] was indeed not paid for.” Exceptions, 10. Respondent’s assertion that the “separation between” Right Move and Michelle Franklin can easily be confirmed with a letter from an accountant misses the point entirely. Respondent shirked her obligation to provide information about Right Move’s corporate status in discovery and to submit relevant information on that point before the record closed. And she cannot undo her failure to meet those obligations now by suggesting that information she never provided to Complainant or submitted to the ALJ *could* readily establish that Right Move functioned as a separate corporate entity.

As for the ALJ’s determination that Respondent commingled business and personal funds, Respondent explains that she opened a new account in a different bank in her name only because the documents required to open a business account were boxed up and not readily available to her. Exceptions, 14. Respondent states that she planned to convert the account to a business account once she located the required documents. *Id.* Respondent also asserts that Complainant’s payment was the only payment deposited to her personal account. *Id.* Respondent’s explanation does not refute the facts the ALJ relied on--even if this was an anomaly caused by switching banks and her inability to supply the documents needed to open a business account--the fact remains that Complainant’s payment was deposited into a personal account in her name.

For all the reasons discussed above, the Commission finds Michelle Franklin personally liable for the § 41102(a) violation.

E. Reparations Award

The ALJ awarded Complainant reparations totaling \$7,472.40 comprised of: (1) the shipping charges Complainant paid to Right Move (\$2,595) (2) demurrage charges (\$935); and (3) expenses for meals and lodging incurred while staying in Karachi (\$3,942.40). I.D., 33. Respondent challenges the reparations award as excessive and argues that Complainant is only entitled to ocean freight charges and five days of demurrage. Beyond that, Respondent argues, any expenses that Complainant incurred were due to voluntary decisions on his part or his unfamiliarity with maritime industry customs and norms. Exceptions, 3-4, 9-10.

Complainant is entitled to reparations for the “actual injury” caused by Respondent’s conduct in violation of § 41102(a). 46 U.S.C. § 41305(b). “If the complaint was filed within the period specified in section 41301(a) . . . [the] Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part.” *Id.*

The reparations the ALJ awarded are the direct result of Respondent’s failure to pay the ocean freight charges and subsequent actions concealing that information and misstating the facts. Respondent caused Complainant to incur additional charges for demurrage by concealing the fact that Right Move had not paid the ocean freight and did not have the funds to correct that error and creating the false impression that she was in contact with an unnamed third party that would very shortly rectify the oversight and pay Troy. Those misrepresentations led to the shipment being held longer and increased the charges Complainant ultimately had to pay to retrieve his shipment and also lengthened his stay in Karachi and added to his expenses for lodging, meals and transportation to and from the port. See I.D., 8-12. Complainant’s claimed expenditures to retrieve the shipment and expenses incurred while staying in Karachi are substantiated by receipts included in the record. See Complainant’s App., Exs. 9-14 (receipts for charges

paid to CP World on. April 10, 2019, charges Complainant’s agent paid to Maersk, and receipt for 21 nights lodging from April 2-23).

Respondent’s argument that Complainant is not entitled to the additional demurrage charges or other expenses because he is partially or wholly to blame for the container’s delayed release is meritless and unsupported. Respondent faults Complainant for not providing her with detailed information needed for a final bill of lading and criticizes him for his unfamiliarity with the port’s protocols and Pakistan’s customs requirements. *See* Exceptions, 4-9 (criticizing Complainant for failing to understand shipping industry norms). The additional demurrage charges were the result of Respondent’s failure to pay Troy for the ocean freight charges, not Complainant’s alleged delay in providing details about the shipment. Troy/CP World placed a hold on the container because the ocean freight charges had not been paid, not because of issues with the bill of lading. Respondent also faults Complainant for not fully understanding the customs clearance process in Pakistan and planning accordingly. *See* Exceptions, 9. She argues, for example, that Complainant should have understood that a no objection certificate is a “regular process” and once he became aware of the delay caused by CP World’s hold on the container, should then have “plan[ned] 5 steps ahead” and extended the no objection certificate ahead of time, instead of “wait[ing] until the last minute and losing 3 extra days over it.” *Id.* Respondent’s failure to pay the ocean freight thrust Complainant into the position of dealing with unanticipated challenges and delays in getting the container released and then navigating unfamiliar maritime industry standards and port protocols and Pakistan’s customs requirements while demurrage charges continued to accrue. So any additional delays or charges caused by those delays are still attributable to Respondent’s conduct in violation of § 41102(a).

In a related argument, Respondent asserts that Complainant should bear responsibility for the demurrage charges because she warned him on April 5 that free time was limited and when it expired, demurrage charges would begin accruing. Exceptions, 5,

11. The demurrage charges resulted directly from Right Move's failure to pay the ocean freight charges and the hold that Troy placed on the container to collect those charges. Respondent cannot shift responsibility for its failure to pay the ocean freight to the Complainant. Having already paid Right Move's entire fee in advance, Complainant had no legal obligation to pay twice for the services Right Move contracted to provide. *See* Complainant's App. Ex. 3 (Respondent paid Right Move in full through a February 14, 2019 wire transfer for \$2,595).

Respondent's assertion that Complainant failed to approach her "in real time" for assistance in handling customs clearance procedures is also meritless. Respondent asserts that had Complainant contacted her, she would have been willing to assist him with clearing customs had he agreed to pay her another \$300 for Right Move's "custom clearance option." Exceptions, 9. Complainant was still dealing with the fallout from Right Move's failure to provide the services he originally paid for. To suggest that he should have trusted Respondent again and paid Respondent an additional \$300 for further services is unreasonable. Further, if Respondent is raising a more general objection and arguing that Complainant did not seek her assistance--that is clearly not the case. Complainant repeatedly and persistently sought Respondent's help to get the container released and urgently requested proof of payment--all to no avail. Complainant did not have a continuing obligation to keep reaching out to Respondent and certainly not to pay her for additional services to speed the container's release after he paid Troy to satisfy Right Move's debt for the ocean freight charges.

Respondent's assertion that Complainant should not recover any expenses he incurred while staying in Karachi and negotiating the release of his shipment and that his presence there was voluntary is not supported by the record. Exceptions, 9-10. Complainant explains that he had to remain in Karachi to oversee the transfer of his household goods to the motor carrier he hired to transport them from the port in Karachi to Islamabad. Complainant's Reply, 8; *see*

also Complainant’s App., Ex. 41. Respondent’s assertion that the costs Complainant claims for lodging and meals are excessive is also unsupported. Exceptions, 19. Complainant’s claimed expenses are in line with the U.S. State Department’s foreign per diem for meals and incidental expenses for Karachi, Pakistan in April 2019. *See* I.D., 16 (Finding No. 86).

Respondent also contends that the inland transportation charges of \$1,265 that Right Move paid should be deducted from the reparations award. Exceptions, 18. The ALJ justifiably denied that request, because Respondent did not introduce any supporting evidence and refused to provide discovery that might have substantiated her argument and proved the amounts that Right Move spent on inland transportation were excessive. I.D., 32.

Finally, Respondent’s argument that Complainant can seek reimbursement under Right Move’s surety bond is not grounds for denying or reducing the reparations awarded by the ALJ. Complainant is entitled to reparations for his “actual injury” under 46 U.S.C. § 41305(b) without regard to whether he might have a claim against Right Move’s surety bond. Further, it is not clear that relief would be available under the surety bond in any event, since Right Move’s license was revoked by the Commission in July 2019 for failing to maintain a bond.

For all the reasons discussed above, the Commission awards Complainant reparations in the amount of \$7,472.40 (covering shipping charges paid to Right Move (\$2,595), demurrage charges (\$935), and meals and lodging during Complainant’s stay in Karachi (\$3,942.40)) plus interest of \$176.57, totaling \$7,648.97.

IV. CONCLUSION

The Commission hereby:

(1) affirms the Initial Decision in its entirety;

(2) finds Respondent Michelle Franklin D.B.A. “The Right Move,” Inc. and in her personal capacity in violation of § 41102(a); and

(3) awards Complainant reparations in the amount of \$7,472.40, plus interest of \$176.57 totaling \$7,648.97.

By the Commission.

William Cody
Secretary

Chairman Daniel B. MAFFEI, concurring, with whom *Commissioners* BENTZEL and VEKICH join:

I agree with the outcome of this case. I agree with the Administrative Law Judge’s use of discovery sanctions, the conclusion that the Respondent violated the elements of § 41102(a), the decision to hold the Respondent personally liable, and the award of reparations to the Complainant. I therefore vote to deny the Respondent’s exceptions to the Initial Decision and affirm the Initial Decision in its entirety. I take this opportunity to restate my belief that the Commission should re-examine our interpretation of § 41102(c).¹⁵

Although the holding of the case does not involve an interpretation of § 41102(c), this case exemplifies the concerns I have with our application of that statute. The Complainant, Mr. Rana, pursued his case pro-se and initially made a § 41102(c) claim. He stated that a cursory search of the internet revealed numerous complaints by consumers against the Respondent alleging fraud or deceit.¹⁶ He sought information about past complaints during discovery, but the Respondent failed to meaningfully participate in discovery and therefore Mr. Rana dropped the § 41102(c) claim due to a perceived inability to show that the claimed acts occurred on a “normal, customary, and continuous” basis as required by Commission’s current interpretation at 46 C.F.R. § 545.4(b). Footnote eight of the opinion importantly notes that had Mr. Rana continued with his § 41102(c) claim, it is possible that sanctions against Respondent may have also allowed for an inference to prove the § 41102(c) claim. That would have been an appropriate outcome.

While discovery obligations are a legitimate means for shippers to establish proof of a prohibited act, the Commission’s current interpretation of § 41102(c) sets the bar too high. The law says that

¹⁵ See, e.g., *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight Int’l Inc.*, 2 F.M.C. 2d 168, 175-78 (FMC Sept 1, 2020); *Gruenberg-Reisner v. Overseas Moving Specialists*, 34 S.R.R. 613 (FMC 2016).

¹⁶ See Complainant’s Supplement to Mot. for Entry of Default and Summary Decision filed Sep. 10, 2019.

a regulated entity “may not fail to establish, observe, and enforce just and reasonable regulations and practices.” From what we know about this case, the Respondent failed to observe and enforce reasonable practices with respect to Mr. Rana’s shipment. Yet Mr. Rana was discouraged from pursuing his initial claim because he did not believe he could show multiple violations or continuous behavior by the Respondent. In my view, such an interpretation removes an incentive for regulated entities to observe and enforce reasonable practices and is based not on the meaning of the words written in the statute, but a perceived interpretation of the congressional intent of those words as they were written and enacted 106 years ago.